

Illustrations by **SIDDHANT JUMDE**

all boiled down to good habit formation. Your financial health and potential for building wealth are dependent on your habits. Short of winning the lottery or receiving a massive inheritance, the best financial habits involve little decisions that you make every day, every week, every month and every year (see *Why Good Habits Matter*).

Developing these habits all at once is tough. For the uninitiated, there is a steep learning curve. Moreover, not all strategies are equally effective at every age. The best approach is to gradually master your financial habits and build them at every stage of your life. In this feature, we will explore financial habits that can see you through your lifetime so that you can leave those New Year resolutions be.

HABIT 1

LIVE WITHIN YOUR MEANS

This is the foundation of a good financial habit. There is nothing complicated about this. By following it, you will automatically start to save money. You should learn early to save money. At a young age, it is understandable that one is tempted to overspend, but saving a portion of your earnings will always be beneficial. If you earn, say, Rs 50,000 a month, live with Rs 35,000 and bank

WHY GOOD HABITS MATTER

Like everything else, the earlier you learn good financial habits, the better. You stand to gain the sooner you develop these habits. It is easy to learn new things and build good habits when you are young. Once you establish good money practices early enough, it will be near impossible to break those habits. Likewise, adjusting the mistakes that we make can impact our financial progress. But, making those mistakes early in life gives us ample time to recover in time and learn from them.

An important learning from any mistake is not to repeat it. In general, when it comes to money, understanding compound interest is critical. Investing money early allows compound interest to grow that money exponentially over decades. There is also a downside to compound interest which many often realise late—in case of borrowings, the interest rate works against you when you make a late payment or borrow for a very long term.